

15 Asset-liability management

7 primary questions | Oldest to newest

2026 objectives: 4.6.1-4.6.2

5 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P1 September 2006 Q5	18 marks
CA1-P1 April 2009 Q1	7 marks
CA1-P1 September 2011 Q3	9 marks
CA1-P1 September 2015 Q1	6 marks
CP1-P1 September 2020 Q1	6 marks
CP1-P1 April 2023 Q7	10 marks
CP1-P1 September 2024 Q10	13 marks

CA1-P1 | September 2006 | Q5

Current topic | 18 marks total | Original PDF p3

Related: Ch 14.

- 5** A large benefit scheme includes pension benefits that are linked to the final salaries of members.

The assets of the scheme are invested in a range of equities, fixed interest and property investments without any formal regard to the matching of the assets to the liabilities.

- (i) Discuss the issues the scheme would need to consider if it wished to match the value and timing of its asset proceeds with the value and timing of its liability outgo. [5]
- (ii) Outline the difficulties the scheme might experience in trying to implement the strategy in part (i). [5]

For the past few years the scheme's investment objective has been to achieve an investment return in any given calendar year that is in the top quartile of returns earned by comparable benefit schemes. The scheme's investment managers have met this objective in four out of the past five years. There are no restrictions on the investment managers' choice of investments.

- (iii) Explain why this investment objective might not be appropriate. [3]
 - (iv) Discuss changes that could be made to the scheme's investment objective in order to address the issues raised in part (iii). [5]
- [Total 18]

CA1-P1 | April 2009 | Q1

Current topic | 7 marks total | Original PDF p2

Related: Ch 14.

- 1** Outline with reasons the principles that a defined benefit scheme should follow in setting an investment strategy. [7]

CA1-P1 | September 2011 | Q3

Current topic | 9 marks total | Original PDF p2

Related: Ch 14.

- 3** An individual has won a sum of money equal to three times his net annual salary. He has a mortgage that is due to be paid off over the next ten years. He has decided to invest in various types of asset classes with the aim of paying off the mortgage within five years, ideally leaving him with surplus funds.
- (i) Explain by setting out a suitable formula how he could use portfolio theory to assess the best way to maximise the surplus. [6]
- (ii) Discuss the factors the individual would consider in choosing the asset classes to invest in. [3]
- [Total 9]

CA1-P1 | September 2015 | Q1

[Current topic](#) | [6 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 1** Describe how mean-variance portfolio theory can be extended to take account of an investor's liabilities. [6]

CP1-P1 | September 2020 | Q1

Current topic | 6 marks total | Original PDF p2

Related: Ch 14.

- 1** An insurance company only sells house insurance and motor insurance products. The company invests the premiums received on its insurance business in cash and short-term loans.

- (i) Explain why the company currently invests in cash and short-term loans. [2]

It has been argued that the company could increase profits significantly by investing the premiums on its insurance business in more risky assets.

- (ii) Suggest, with reasons:

- (a) two assets that may be suitable assets for the company.
(b) two assets that would not be suitable assets for the company.

[4]

[Total 6]

CP1-P1 | April 2023 | Q7

Current topic | 10 marks total | Original PDF p3

Related: Ch 26, Ch 30.

- 7**
- (i) Propose, with reasons, three risks that a defined benefit scheme may wish to hedge. [3]
 - (ii) Explain why a defined benefit scheme may choose to use liability hedging. [2]
 - (iii) Discuss the risks that may still exist for a defined benefit scheme even if it has hedged its liabilities. [5]
- [Total 10]

CP1-P1 | September 2024 | Q10

Current topic | 13 marks total | Original PDF p4

Related: Ch 10.

- 10** A life insurance company has £100 billion of immediate annuity liabilities on its balance sheet.
- (i) Describe why this company would choose to invest in both domestic and overseas assets. [6]
 - (ii) Discuss how the company's assets may compare to the assets held by a life insurance company with £1 billion of immediate annuity liabilities. [7]
- [Total 13]